



Question 1

Which of the following is a fiscal stimulus?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a

An increase in the interest rate

b

A reduction in the interest rate

c

An increase in government spending

d

An increase in taxes

Correct Answer:



c - An increase in government spending



Question 2

Which of the following is NOT one of the three ways that government spending and taxation (fiscal policy) can dampen fluctuations in the economy:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a The provision of unemployment benefits

b Deliberate intervention via fiscal policy

c The implementation of price controls

d Adjusting the size of government

Correct Answer:

✓ **c** - The implementation of price controls

Question 3

The simple money/spending multiplier

The consumption function

$$C = c_0 + c_1 Y$$

In the consumption function, c_0 is _____ and c_1 is _____?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

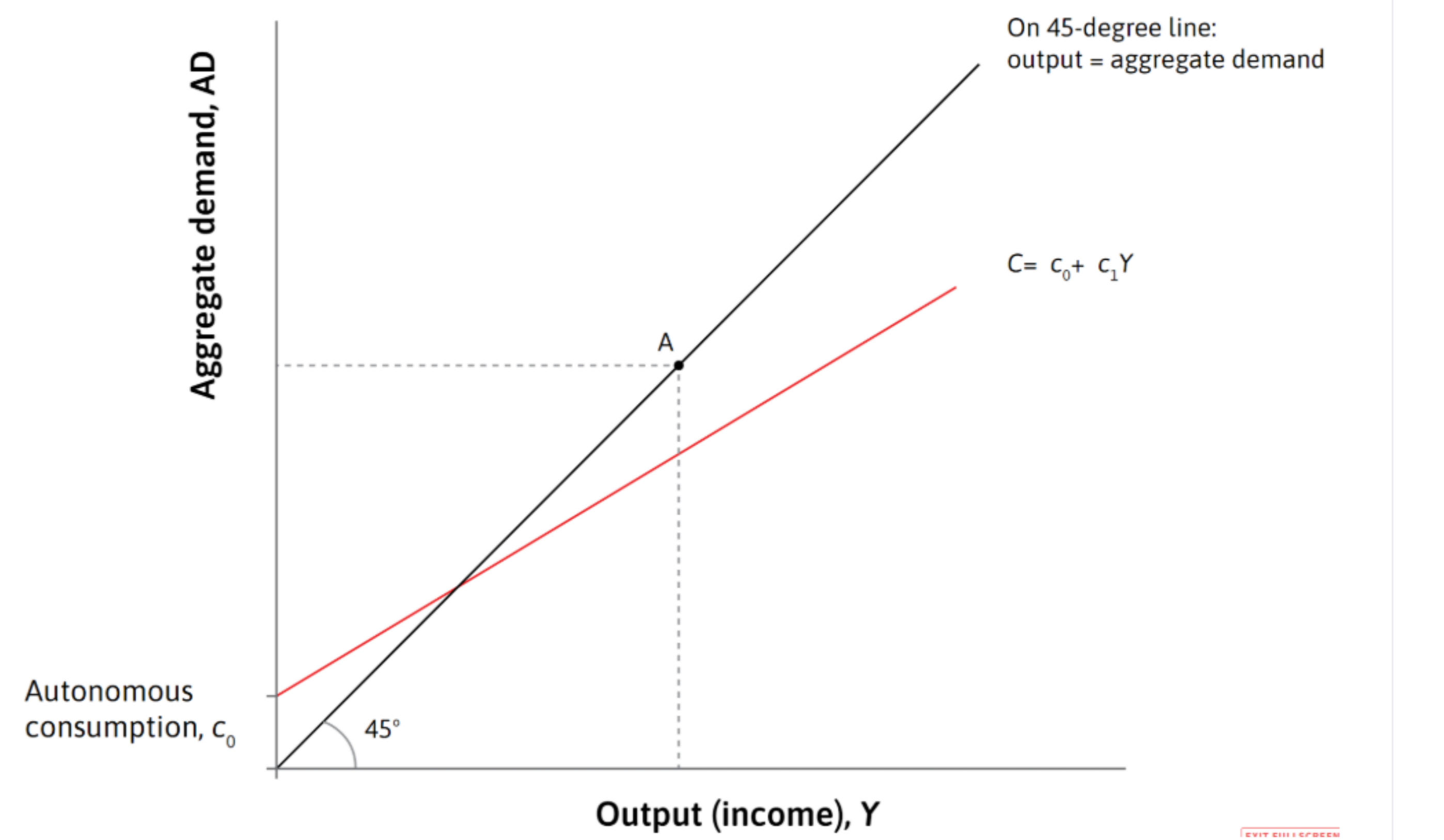
- | | |
|----------|--|
| a | the MPC; autonomous consumption |
| b | autonomous consumption; typically zero |
| c | typically \$100,000; the MPC |
| d | autonomous consumption; the MPC |

Correct Answer:

✓ **d** - autonomous consumption; the MPC

 Question 4

Aggregate consumption can be modelled as $C = C_0 + C_1 Y$ and represented graphically in the goods market equilibrium diagram. What is the impact of an increase in c_0 ?



Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- a** A shift upwards of the 45 degree line
- b** An increase in the slope of the 45 degree line
- c** A shift upwards of the aggregate demand curve
- d** An increase in the slope of the aggregate curve

Correct Answer:

✓ **c** - A shift upwards of the aggregate demand curve



Question 5

An increase in the marginal propensity to consume (c_1) results in a:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|--------------------------------|
| a | flatter 45 degree line |
| b | steeper 45 degree line |
| c | flatter aggregate demand curve |
| d | steeper aggregate demand curve |

Correct Answer:

✓ d - steeper aggregate demand curve



Question 6

Adding Investment spending (I) by firms to the consumption function results in $Y = AD = c_0 + c_1Y + I$

An increase in investment spending is shown as a(n) :



A

steeper aggregate demand curve



B

upward shift of the aggregate demand curve



C

downward shift of the aggregate demand curve



D

flatter aggregate demand curve

?



Question 7

Deriving the simple money/spending multiplier

What is the end outcome of an increase in c_0 ?

- Depends upon the value of the multiplier.
- Depends on the MPC.

If the MPC is 0.75, the impact on Y of an increase in c_0 of \$1000 is:

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a \$750

b \$250

c \$4,000

d \$1,333

Correct Answer:

✓ c - \$4,000



Question 8

The Keynesian money/spending multiplier in an open economy including government taxation is shown as:

1

$$(1 - c_1 (1 - t) + m)$$

If c_1 (mpc) = 0.75, $t = 0.3$ and m (mpm) = 0.2, what is the impact of an increase in G of \$500 million?

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

a \$2,000 million

b \$4,444 million

c \$500 million

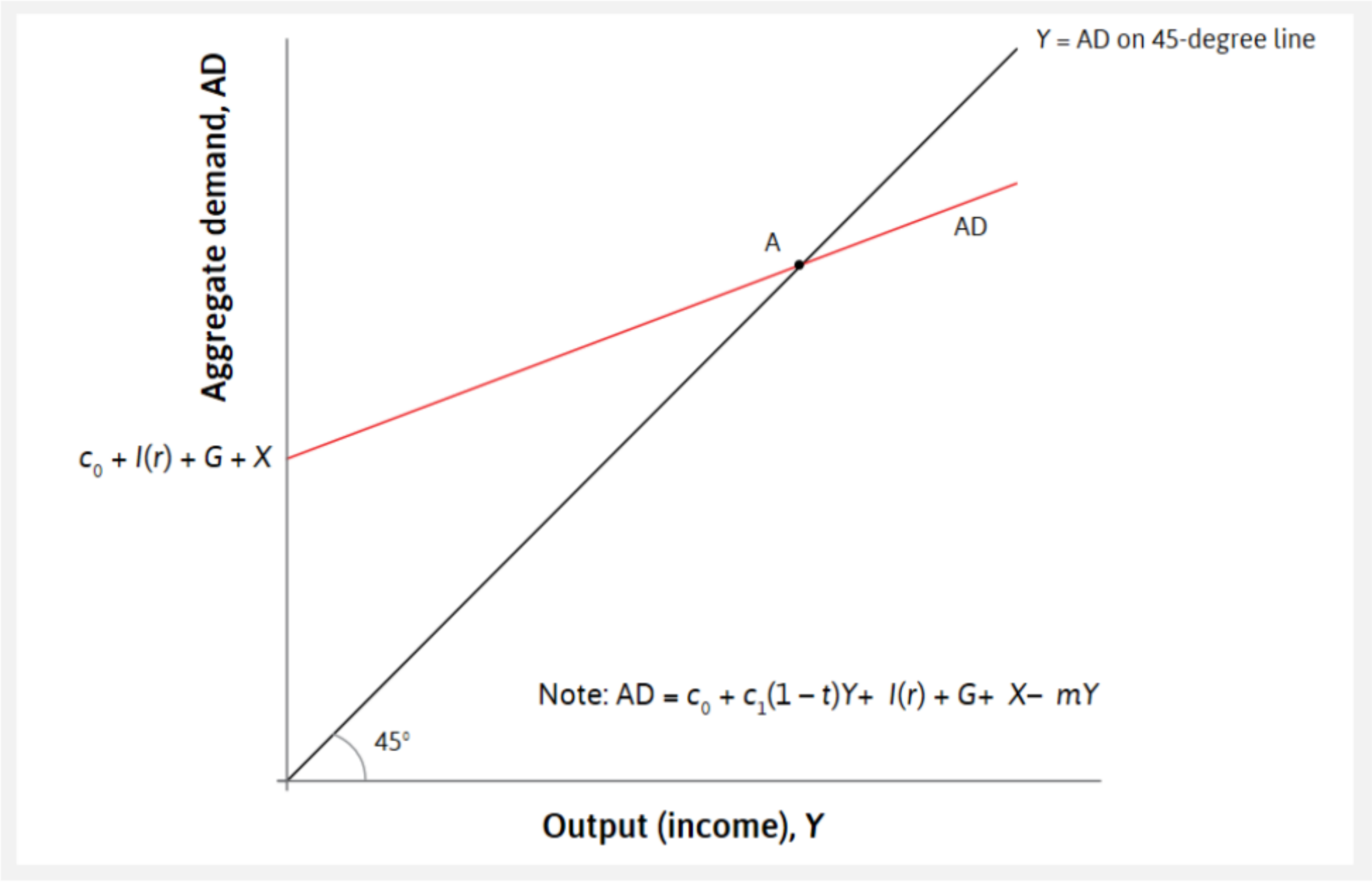
d \$741 million

Correct Answer:

✓ d - \$741 million

 Question 9

Consider the aggregate demand (AD) diagram in goods market equilibrium.
An increase in net exports (NX) results in:



Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|---|
| a | a flatter aggregate demand curve |
| b | a steeper aggregate demand curve |
| c | a downwards shift of the aggregate demand curve |
| d | an upwards shift of the aggregate demand curve |

Correct Answer:

✓ d - an upwards shift of the aggregate demand curve



Question 10

A fall in the tax rate from t to t' results in

☐ A

a shift downwards for the aggregate demand curve

☒ B

a steeper aggregate demand curve



☐ C

a shift upwards of the aggregate demand curve

☐ D

a flatter aggregate demand curve

?



Question 11

A fall in the tax rate from t to t' :



A

decreases the size of the multiplier



B

decreases available income



C

increases the size of the multiplier



D

increases export spending





Question 12

An increase in the marginal propensity to import (m) results in a :

Select an answer and submit. For keyboard navigation, use the up/down arrow keys to select an answer.

- | | |
|---|---|
| a | flatter aggregate demand curve |
| b | shift upwards of the aggregate demand curve |
| c | steeper aggregate demand curve |
| d | shift downwards of the aggregate demand curve |

Correct Answer:

✓ a - flatter aggregate demand curve

Question 13

Fill in the Blanks

Type your answers in all of the blanks and submit

$\times_2$ $\times^2$ Ω

Consider an economy with only consumption and investment. If the marginal propensity to consume (c_1) is equal to 0.75, the multiplier is equal to . This means that a(n) increase in government spending (G) of \$50b will result in a(n) value of output. The change in output value is \$ billion.

Correct Answers:

Consider an economy with only consumption and investment. If the marginal propensity to consume (c_1) is equal to 0.75, the multiplier is equal to

✓ 4

.... This means that a(n) increase in government spending (G) of \$50b will result in a(n)

- ✓ Greater
- ✓ increased
- ✓ Higher

...value of output. The change in output value is \$

✓ 200



Question 14

Fill in the Blanks

Type your answers in all of the blanks and submit

$\times_e$

$\times^2$

Ω

Now consider an economy that includes government and foreign trade. If the marginal propensity to consume (c1) is equal to 0.75, the tax rate (t) is 0.4 and the marginal propensity to import (m) is 0.25, the multiplier is equal to . This means that an increase in government spending (G) of \$50b will result in a(n) value of output. The change in value of output is \$ billion.

Correct Answers:

Now consider an economy that includes government and foreign trade. If the marginal propensity to consume (c1) is equal to 0.75, the tax rate (t) is 0.4 and the marginal propensity to import (m) is 0.25, the multiplier is equal to	 This means that an increase in government spending (G) of \$50b will result in a(n)	... value of output. The change in value of output is \$
✓ 1.25	✓ Greater ✓ increased ✓ Higher	✓ 62.5